7. 9:00 AM CASE NUMBER: C24-01921
CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. GOLD COAST PIPELINES, INC. A CALIFORNIA CORPORATION
***HEARING ON MOTION IN RE: STRIKE PUNITIVE DAMAGES CLAIMS**
FILED BY: DAVID T. SEENO
<u>*TENTATIVE RULING:*</u>

See Line 6.

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HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT OF DAVID T. SEENO
FILED BY:
<u>*TENTATIVE RULING:*</u>

Before the Court is Defendant Norsan Financial & Leasing ("Norsan" or "Defendant")'s Demurrer. The Demurrer relates to Plaintiff David T. Seeno ("DTS"), the David T. Seeno Revocable Trust Dated July 12, 2016 ("DTS Trust"), and Lionheart Homes, Inc. ("Lionheart") (collectively, "Plaintiffs") second amended complaint for (1) Breach of Contract against Alsan, (2) Conversion against Norsan, (3) Breach of Contract against Norsan, (4) Promissory Estoppel against Norsan, (5) Common Count against Norsan, and (6) Negligent Misrepresentation against Norsan.

Defendant demurs to all Plaintiff's causes of action pursuant to Code of Civil Procedure § 430.10 on several grounds.

For the following reasons, the Demurrer is **SUSTAINED-IN-PART** with respect to the breach of contract claim (without leave to amend) and otherwise **OVERRULED**.

<u>Legal Standard</u>

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc*. (2004) 118 Cal.App.4th 1413, 1420.) A complaint "is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ("*Doe*")), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id*. at 1098–1099; *Doe* at 551, fn. 5.) The Court "assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

<u>Analysis</u>

This is the third challenge to Plaintiffs' complaint. Defendant once more argues that because Plaintiffs allege Norsan's alleged acts occurred in 2018 and 2020 (and the complaint was not filed until November 2024), the causes of action against Norsan are barred by the three-year statute of limitations for conversion and breach of contract and the two-year limitations period for promissory estoppel, common count, and negligent misrepresentation. Defendant also argues that the SAC fails to adequately allege contract formation.

The Court has sustained two previous demurrers on the grounds that Plaintiffs had not alleged facts sufficient to support fraudulent concealment with respect to their time-barred claims, or otherwise alleged breaches within the statute of limitations for their causes of action for conversion, breach of contract, promissory estoppel, common count, and negligent misrepresentation.

In opposition, Plaintiffs also argue for the first time that Norsan waived the statute of limitations. They also argue that their claims did not accrue until July 2024 because they did not suffer injury until then. They further argue that they SAC adequately pleads delayed discovery, fraudulent concealment, and continuous accrual. Finally, Plaintiffs argue that a contract between the parties is implied by conduct.

As a threshold issue, Plaintiffs' waiver argument lacks merit. Plaintiffs rely on Code of Civil Procedure section 360.5 which allows statutes of limitations generally to be waived by written agreement. Critically in this case, however, the SAC does not allege a written agreement between Defendant and Plaintiffs. Instead, the Plaintiffs allege "a course of dealing between the parties regarding their financial relationship" (SAC at ¶ 31) and that "the Norsan 'Loan' contains the same substantive provisions as the [written] Alsan Note" (*id*. at ¶ 48). Section 360.5 provides that "No waiver shall bar a defense to any action that the action was not commenced within the time limited by this title unless the waiver is *in writing and signed by the person obligated*." (Code Civ. Proc. § 360.5 [italics added]; see also *Butt v. Burkett* (1937) 18 Cal.App.2d 612, 614 [to take case out of statute of limitations, acknowledgement of debt or promise to pay on account must be in writing and signed]; Code Civ. Proc. § 360.) As a consequence, Plaintiffs' reliance on section 360.5 is misplaced as they do not have a written agreement.

Next, Plaintiffs argue that their causes of action did not accrue until July 2024. (Opp. at § III.) They point to their new allegation that "it was not until Norsan repudiated its debt by failing to respond or pay in July 2024 that Plaintiff first suffered injury from Norsan. Until that point, Norsan's records credited monthly interest to the DTS Trust and Plaintiffs had every expectation that Norsan would pay the principal and interest in full." (SAC at ¶ 47.) On reply, Defendant argues that Plaintiffs' harms occurred in 2018 and 2020 when the alleged 'unilateral conversions' occurred, i.e. when Plaintiffs allege that the shareholder distributions were 'unilaterally' diverted. (Reply at § II(B)(1).)

The Court is inclined to agree with Defendant. The elements of conversion are: (1) the plaintiff's ownership or right to possession of the personal property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages. (*Welco Electronics, Inc. v. Mora* (2014) 223 Cal.App.4th 202, 208.) Unless the discovery rule applies, "a cause of action accrues at 'the time when the cause of action is complete with all of its elements.' [Citations.]" (*Fox v. Ethicon Endo-Surgery, Inc*. (2005) 35 Cal.4th 797, 806.)

Here, the allegations of the SAC reflect that the elements of conversion accrued in 2018 and 2020, respectively. The SAC alleges that "[o]n or about March 21, 2018, the DTS Trust transferred approximately $8 million in earnings it received as a result of its ownership in one of several S-Corporations jointly owned by members of the Seeno family (the 'Jointly Held Entities' or 'JHEs') to Norsan to pay obligations DTS understood he owed to Norsan through a trust. However, that payment exceeded the amount the trust allegedly owed by approximately $4,236,790." (SAC at ¶ 18.) The SAC further alleges that "ADSJ and his agents assured DTS that his finances were being managed in his best interest. At the time, therefore, DTS was unaware that Norsan had chosen to loan itself $4,236,790 from the DTS Trust." (*Id*. at ¶ 21.)

The SAC also alleges that "[o]n or about September 9, 2020, Steve Lichti, functioning as a finance director for Alsan and Norsan, redirected Jointly Held Entities shareholder distributions in the amount of $3,320,875 from DTS to Norsan, and increased the Norsan 'Loan' by that amount." (SAC at ¶ 33.)

In each case, the elements of conversion were complete in 2018 and 2020, respectively, Plaintiffs allegation that "those damages occurred when Norsan revealed in July 2024 that it was defaulting on the Norsan 'Loan'" (SAC at ¶ 59) is inconsistent with the case law on conversion. "Ordinarily the statute of limitations applying in conversion actions (Code Civ. Proc. § 388, subd. 3 [now subdivision (c)]) begins to run from the date of the conversion even though the injured person is ignorant of his rights." (*Strasberg v. Odyssey Group* (1996) 51 Cal.App.4th 906, 916 [citations omitted].) However, where there has been fraudulent concealment of the facts the statute of limitations does not commence to run until the aggrieved party discovers or ought to have discovered the existence of the cause of action for conversion. (*Id*.)

The doctrine of fraudulent concealment requires Plaintiffs allege supporting facts—i.e. the date of discovery, the manner of discovery, and the justification for the failure to discovery the fraud earlier—with the same particularity as with a cause of action for fraud. (See *Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888, 900-902 [applied to a fraudulent concealment cause of action].) To take advantage of this doctrine " 'the plaintiff must show … the substantive elements of fraud … and … an excuse for late discovery of the facts.' " (*Snapp & Associates Ins. Services, Inc. v. Robertson* (2002) 96 Cal.App.4th 884, 890.)

Plaintiffs argue in opposition that they have sufficiently alleged fraudulent concealment. Specifically, that the date and manner of discovery was July 2024 when Norsan failed to respond to David's formal demand letter for repayment. (Opp. at 12:14-22 [citing SAC ¶¶ 42, 44].) They further argue that their justification for failure to discover the fraud earlier was "Norsan's years-long course of conduct" including sending Plaintiff David T. Seeno "monthly amortization schedules documenting the debt and its terms, apparently prepared by its corporate controller, Kim Penitenti." (*Id*. at 12:24-27 [citing SAC at ¶¶ 24-27].)

Plaintiffs' fraudulent concealment theory depends on a characterization of the 2018 and 2020 conversions as loans of which Plaintiff David T. Seeno was ignorant of until he "assumed control and management of his financial records in April 2020 through at least February 2023." (SAC at ¶ 28.) However, the SAC's characterization of the transaction as a "unilateral" decision by Norsan "to treat the $4,236,790 overpayment as a loan" (SAC at ¶ 20) (which was later increased by the September 9, 2020 transfer an additional $3,320,875 (SAC at ¶ 33)) is inconstant with basic principles of contract formation. (See *Weddington Productions, Inc. v. Flick* (1998) 60 Cal.App.4th 793, 811 ["An essential element of any contract is 'consent.' The 'consent' must be 'mutual.' Consent is not mutual unless the parties all agree upon the same thing in the same sense."] [internal citations omitted].) As a consequence, while these allegations support fraudulent concealment, they cannot also state a claim for breach of contract.

Therefore, Plaintiff has failed to allege facts sufficient to state a claim for breach of contract. The demurrer to that cause of action is **SUSTAINED**, without leave to amend. However, the Second Amended Complaint adequately alleges fraudulent concealment. Consequently, the demurrer on the grounds that Plaintiff's claims are barred by their respective statutes of limitations is **OVERRULED**.